WAVERLEY GATEWAY GUIDE

Connecting International Capital

MONTENEGRO

Europe

Information current as of November 2026

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Podgorica	Capital and administrative centre; seat of government, the Central Bank of Montenegro and most banks and service firms	Financial and business services, ICT, real estate, retail
Bar (port and free zone)	Montenegro's main cargo port and its only free trade zone, offering duty- and VAT-free import and storage for zone users	Port logistics, warehousing, light processing, energy
Bay of Kotor and Tivat	Historic bay and yachting hub at the centre of the high-end tourism market	Hospitality, marinas, premium real estate
Budva Riviera and southern coast	Core of the country's tourism economy, where foreign buyers are active in property	Tourism, hospitality, residential development
Mateševo–Andrijevica motorway corridor	23 km second section of the Bar–Boljare motorway, worth €694 million, on which works began in June 2026	Construction, engineering, mountain tourism
Nikšić and the north	Industrial and agricultural heartland, with eight-year tax exemptions for new production in less developed municipalities	Manufacturing, food processing, energy, wood

INVESTOR ENTRY ROUTES

- The national Investment Agency acts as a one-stop shop for foreign investors, providing information and access to incentives
- Progressive corporate income tax of 9% on profits up to €100,000, 12% up to €1.5 million and 15% above, among the lowest in Europe
- Eight-year corporate tax exemption, capped at €200,000, for new production companies in less developed municipalities
- Port of Bar free zone, offering exemption from customs duties and VAT, unlimited duty-free storage and simplified procedures
- Use of the euro as the domestic currency, removing exchange-rate risk for euro-based investors
- EU accession front-runner status, with all 33 negotiating chapters open and 21 provisionally closed, steadily aligning laws with EU standards
- EU and EBRD co-financing for transport and energy infrastructure under the Economic and Investment Plan for the Western Balkans

MARKET-ENTRY OBSERVATION

Montenegro in November 2026 is the front-runner among EU candidates, combining a euro-based economy, low corporate taxes and rapid progress towards membership. It has opened all 33 negotiating chapters and provisionally closed 21, including three on 12 October 2026, and the government is aiming for full membership in 2028. GDP grew 3.8% year-on-year in the second quarter of 2026, after 2.7% in 2025, with fixed investment up 12.7% and household consumption up 7.1%. Unemployment fell to a historic low of 10.5% in 2025. Foreign direct investment inflows reached €867 million in January–November 2025, with Turkey the largest source at €127.1 million, followed by investors from Serbia, Germany and the United States. Works on the €694 million second section of the Bar–Boljare motorway began in June 2026.

Montenegro's main structural challenge is strengthening public finances and the external position while sustaining growth beyond tourism. The budget deficit reached 4.3% of GDP in 2025, public debt was 64.3% of GDP at the end of the year, and the current-account deficit widened to 20.5% of GDP; inflation rose to 5.2% in September 2026. The IMF has recommended a stronger fiscal rule, an operational Fiscal Council and a gradual return to a balanced primary budget. The path is supported by the EU accession process, which anchors reforms and opens access to grants and concessional finance, including €150 million from the EU and a €200 million EBRD loan for the motorway. Diversification into energy, manufacturing, logistics and year-round tourism offers investors a growing range of opportunities.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Fiscal deficit and debt	The deficit was 4.3% of GDP in 2025 and debt 64.3%, with sizeable refinancing needs	EU accession and IMF advice anchor consolidation; monitor tax and spending measures in future budgets
External imbalance	The current-account deficit reached 20.5% of GDP in 2025, leaving the economy reliant on capital inflows	Euro use removes currency risk for investors; export-oriented and import-substituting projects are welcomed
Inflation and wage pressure	Inflation rose to 5.2% in September 2026, its highest since 2024	Build wage and price assumptions into business plans and favour euro-denominated contracts
Political cohesion	Coalition tensions have at times slowed legislation, and parliamentary elections are due by 2027	Broad cross-party support for EU membership provides policy continuity; maintain dialogue across parties
Dependence on tourism	Tourism dominates output and employment, exposing the economy to seasonal and external shocks	Diversify into year-round tourism, energy, logistics and manufacturing, where incentives are available
Small market and administrative capacity	The small domestic market limits demand, and permitting can be slow	Use the Investment Agency's one-stop shop, local advisers and the Port of Bar to serve regional and EU markets

INVESTOR RISK NOTE

Montenegro's risk profile is that of a small, open, euro-using economy on a credible path to EU membership. It is a NATO member, is not on the FATF grey list and is not subject to sanctions, and its accession talks are the most advanced in the Western Balkans, with 21 of 33 chapters provisionally closed by October 2026. The main issues are macroeconomic: a deficit of 4.3% of GDP, debt of 64.3% and a large current-account deficit, together with inflation of 5.2%. These are being addressed with IMF and EU guidance, and the EU process continues to strengthen institutions and the rule of law. Investors should plan for seasonal cash flows in tourism, slower permitting outside major projects and possible policy shifts around elections due by 2027, but the low-tax, euro-based environment and EU-funded infrastructure provide a supportive base.

MARKET ACCESS

Montenegro is a member of the WTO and of the Central European Free Trade Agreement (CEFTA), and its Stabilisation and Association Agreement with the EU gives most of its goods duty-free access to the EU market. Use of the euro removes exchange-rate costs for trade with the euro area, and the accession process is

progressively aligning customs, competition and standards with EU rules, with the customs union chapter provisionally closed in July 2026. The Port of Bar links the country to Mediterranean shipping and, by rail, to Serbia, while the Bar–Boljare motorway will improve road links to Serbia and Central Europe. The EU's Growth Plan for the Western Balkans aims to open parts of the single market to the region ahead of membership.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Government of Montenegro (Prime Minister Milojko Spajić)	Sets economic and fiscal policy and leads the EU accession drive, targeting membership in 2028	Primary reference point for strategic direction and major projects
Investment Agency of Montenegro	National one-stop shop for foreign investors, providing information on incentives and procedures	Standard first point of contact for market entry
Central Bank of Montenegro (CBCG)	Supervises banks and compiles balance-of-payments and FDI data in a euro-using economy	Relevant for banking, payments and financial-sector matters
Ministry of Finance	Leads the budget, tax policy, debt management and the fiscal-rule reforms recommended by the IMF	Key counterpart on tax, fiscal and public-finance matters
Ministry of European Affairs	Coordinates accession negotiations and EU funding programmes	Relevant for EU-funded projects and regulatory alignment
Monteput	State motorway company managing the Bar–Boljare motorway and the €694 million Mateševo–Andrijevica section	Counterpart for contractors, suppliers and transport investors
Port of Bar	Main cargo port and operator of the country's only free trade zone	Partner for logistics, warehousing and processing investment

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Chamber of Economy of Montenegro, the American Chamber of Commerce in Montenegro and the Montenegrin Employers Federation are the main business associations, with regular dialogue with government. The Investment Agency of Montenegro organises investor meetings and promotes the country abroad. The European Bank for Reconstruction and Development, the European Investment Bank, the World Bank and the EU's Western Balkans Investment Framework are active in transport, energy and private-sector finance, and the EU accession process brings additional grant funding. Embassies of EU member states, the United Kingdom, the United States and Turkey maintain commercial sections that are a useful source of introductions.

INVESTOR PROFILE BEST SUITED

Montenegro suits investors seeking a low-tax, euro-based entry point to the Western Balkans ahead of EU membership: tourism and hospitality groups targeting year-round and high-end segments on the coast and in the mountains; real-estate developers; logistics and processing companies using the Port of Bar free zone; construction and engineering firms working on EU- and EBRD-financed motorway and energy projects; and manufacturers able to use tax exemptions in less developed northern municipalities.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Investment Agency of Montenegro
Use the one-stop shop to map incentives, permits and the tax position under the progressive 9–15% corporate tax.

STEP 2: Assess the Port of Bar free zone and northern incentives
Compare free-zone benefits with the eight-year tax exemption for new production in less developed municipalities.

STEP 3: Map EU and DFI financing
Identify EU, EBRD and EIB programmes that can co-finance transport, energy or tourism infrastructure.

STEP 4: Track accession milestones and fiscal policy
Monitor chapter closures, the accession treaty timetable and budget measures, which will shape regulation and taxes.

STEP 5: Plan for seasonality and costs
Build tourism seasonality, wage growth and inflation into financial models, and secure local legal advice on property.